

Solving the SDE for OU process

$$dX_t = \gamma (m - X_t) dt + \sigma dB_t \quad t > 0 \quad (*)$$

Let $Y_t = X_t - m$ distance from X_t to $E \rightarrow Y_{t \rightarrow \infty} = 0$

$$\rightarrow dY_t = dX_t - dm = dX_t$$

$$\xrightarrow{(*)} dY_t = -\gamma Y_t dt + \sigma dB_t$$

multiply by $e^{\gamma t}$

$$e^{\gamma t} dY_t = -e^{\gamma t} \gamma Y_t dt + e^{\gamma t} \sigma dB_t$$

$$e^{\gamma t} dY_t + e^{\gamma t} \gamma Y_t dt = e^{\gamma t} \sigma dB_t$$

$$e^{\gamma t} dY_t + Y_t d(e^{\gamma t}) = e^{\gamma t} \sigma dB_t$$

$$d(e^{\gamma t} Y_t) = e^{\gamma t} \sigma dB_t$$

integrating from 0 to t

$$\int_0^t d(e^{\gamma s} Y_s) = \int_0^t e^{\gamma s} \sigma dB_s$$

$$\begin{aligned}
e^{\gamma t} Y_t - e^{\gamma_0} Y_0 &= \sigma \int_0^t e^{\gamma s} dB_s \\
e^{\gamma t} Y_t - Y_0 &= \sigma \int_0^t e^{\gamma s} dB_s \\
e^{\gamma t} Y_t &= Y_0 + \sigma \int_0^t e^{\gamma s} dB_s
\end{aligned}$$

multiply back by $e^{-\gamma t}$

$$Y_t = e^{-\gamma t} Y_0 + e^{-\gamma t} \sigma \int_0^t e^{\gamma s} dB_s$$

$$Y_t = e^{-\gamma t} Y_0 + \sigma \int_0^t e^{-\gamma(t-s)} dB_s$$

Since $Y_t = X_t - m \Rightarrow Y_0 = X_0 - m$

$$X_t - m = (X_0 - m) e^{-\gamma t} + \sigma \int_0^t e^{-\gamma(t-s)} dB_s$$

$$X_t = m + (X_0 - m) e^{-\gamma t} + \sigma \int_0^t e^{-\gamma(t-s)} dB_s$$